

Brightwater Capital Partners IV, L.P.

Private Placement Memorandum | Vyntic token: ppm

1. Notice to Prospective Investors

This private placement memorandum relates to the offering of limited partnership interests in Brightwater Capital Partners IV, L.P., a Delaware limited partnership formed to pursue control-oriented investments in North American industrial and business services companies. The offering is made only to eligible investors on a confidential basis.

All names, amounts and entities in this document are fictional and are provided for demonstration use. No public offering is being made and no securities are being sold.

Offering restrictions procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing offering restrictions provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

2. Executive Summary

Brightwater Capital Partners, LLC is a Chicago-based middle-market buyout sponsor founded in 2009 with approximately \$2.1 billion of assets under management. The Firm targets durable industrial niches and outsourced business services where operating discipline, pricing analytics and professionalized sales execution can create value.

Fund IV is targeting \$1.25 billion of commitments, with a hard cap of \$1.5 billion. The General Partner expects to invest in 10 to 14 platform companies with enterprise values generally between \$75 million and \$350 million.

Fund IV investment program procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing fund iv investment program provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

Term	Summary
Fund	Brightwater Capital Partners IV, L.P.
Target / hard cap	\$1.25 billion target; \$1.5 billion hard cap
Management fee	2.0% on commitments during the five-year investment period; thereafter 1.5% on invested capital
Carried interest	20%, European whole-fund waterfall, 8% preferred return, 100% GP catch-up and clawback
GP commitment	2.0% of aggregate commitments
Fee offset	50% of transaction, monitoring, directors and similar fees offset against the management fee
Recycling / expenses	Recycling permitted for 24 months; organizational expense cap of \$2,500,000
Removal	No-fault removal of the General Partner requires approval of Limited Partners holding 80% of interests

3. Investment Strategy

The Fund will seek control investments in North American companies with resilient demand, recurring aftermarket exposure, fragmented customer bases and identifiable operational improvement opportunities. Brightwater expects to emphasize businesses serving safety, compliance, industrial automation, facility services, specialty distribution and technical field services markets.

Brightwater typically partners with founders, family-owned businesses and corporate carve-outs where professionalized reporting, working-capital discipline, procurement programs and add-on acquisition integration can improve EBITDA margins. Fund IV will avoid early-stage technology, commodity cyclicalities and businesses whose primary value depends on uncontracted government reimbursement.

The investment committee process requires a preliminary memorandum, confirmatory diligence plan, quality of earnings review, debt-capacity analysis, legal and tax structuring review, and final investment committee approval. The Firm expects to use moderate leverage with conservative covenant and liquidity assumptions.

Investment strategy procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing investment strategy provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

4. Senior Team

Brightwater is led by four partners supported by twelve investment professionals and a seven-person operating resource group. The Firm describes the senior team as stable and cohesive, with shared economics across the investment committee.

Senior team oversight procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing senior team oversight provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

Name	Title	Current responsibilities
Elaine Hart	Managing Partner	Origination, Investment Committee Chair
Malik Voss	Partner	Industrials and engineered products
Priya Selvan	Partner	Business services and portfolio operations
Daniel Roache	Partner, Head of Value Creation	Operational improvement and commercial excellence

Elaine Hart founded Brightwater after senior investing roles at fictional regional sponsors and chairs the investment committee for Fund IV.

Malik Voss leads industrial products coverage and has served on the boards of Amerin Gauge Systems, Caldera Flow Controls and Northline Fabrication, each fictional portfolio companies.

Priya Selvan leads business services coverage and has overseen sourcing in facility compliance, testing services and specialty distribution.

Daniel Roache serves as Partner and Head of Value Creation, with responsibility for operating diagnostics, management dashboards, procurement initiatives and pricing programs across the portfolio.

5. Prior Fund Performance

The following summary is presented on a net basis and should be read with the detailed track-record schedule furnished separately. Unrealized values are determined under the Firm's valuation policy and are subject to change.

Track record presentation procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing track record presentation provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

Fund	Vintage	Fund Size	Net IRR	TVPI	DPI	RVPI	Status
Fund I	2011	\$300,000,000	18%	2.10x	2.10x	0.00x	Fully realized
Fund II	2015	\$550,000,000	21%	1.90x	1.30x	0.60x	Partially realized
Fund III	2021	\$850,000,000	15%	1.50x	0.40x	0.95x	Active

6. Portfolio Construction

Brightwater will construct the portfolio over the investment period with concentration limits, industry guidelines and reserve planning reviewed quarterly by the investment committee. Follow-on investments may be made to protect value, fund add-on acquisitions or support working capital during periods of growth.

The Firm's diligence workstreams customarily include commercial market interviews, customer cohort analysis, purchase accounting review, environmental assessment, benefits review, insurance mapping and information-security diligence. Findings are summarized in a final investment memorandum.

Portfolio construction procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing portfolio construction provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to portfolio construction eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

7. Diligence Process

Brightwater will construct the portfolio over the investment period with concentration limits, industry guidelines and reserve planning reviewed quarterly by the investment committee. Follow-on investments may be made to protect value, fund add-on acquisitions or support working capital during periods of growth.

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Diligence process procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing diligence process provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to diligence process eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

8. Valuation Framework

Brightwater will construct the portfolio over the investment period with concentration limits, industry guidelines and reserve planning reviewed quarterly by the investment committee. Follow-on investments may be made to protect value, fund add-on acquisitions or support working capital during periods of growth.

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Valuation framework procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing valuation framework provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to valuation framework eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

9. Conflicts and Fees

Brightwater will construct the portfolio over the investment period with concentration limits, industry guidelines and reserve planning reviewed quarterly by the investment committee. Follow-on investments may be made to protect value, fund add-on acquisitions or support working capital during periods of growth.

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Conflicts and fees procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing conflicts and fees provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to conflicts and fees eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

10. Tax, ERISA and Regulatory Matters

Brightwater will construct the portfolio over the investment period with concentration limits, industry guidelines and reserve planning reviewed quarterly by the investment committee. Follow-on investments may be made to protect value, fund add-on acquisitions or support working capital during periods of growth.

The Firm's diligence workstreams customarily include commercial market interviews, customer cohort analysis, purchase accounting review, environmental assessment, benefits review, insurance mapping and information-security diligence. Findings are summarized in a final investment memorandum.

Tax and regulatory matters procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing tax and regulatory matters provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

No Limited Partner should assume that policies relating to tax and regulatory matters eliminate all conflicts, valuation uncertainty, operational risk or timing differences. Remedies and approval rights are limited to those expressly set forth in the governing documents.

11. Risk Factors

An investment in the Partnership is speculative and involves a high degree of risk. Prospective investors should rely only on their own review of the Partnership Agreement, subscription materials, tax advice and diligence of the General Partner.

Portfolio investments are expected to be illiquid, privately negotiated and subject to business, market, financing, operational, legal and regulatory risks. There can be no assurance that any portfolio company will achieve its business plan or that exit markets will be available on attractive terms.

The General Partner and its affiliates may provide services to portfolio companies, receive transaction, directors, monitoring or similar fees, and allocate broken-deal, travel, consulting, insurance and other expenses among funds and accounts using policies that involve judgment.

Performance information regarding prior funds is not necessarily indicative of future results. Valuations of unrealized investments are inherently uncertain and may differ materially from values that would be realized in an orderly sale.

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12. Subscription Procedures

Prospective investors must complete subscription materials, provide beneficial ownership information and satisfy anti-money-laundering review before admission. The General Partner may reject any subscription in whole or in part.

This memorandum is dated July 22, 2026 and supersedes prior discussion materials relating to Fund IV.

Subscription procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing subscription procedures provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.